

Barnala Steel Industries Ltd. v. Pashchimanchal Vidyut Vitran Nigam Ltd. and Anr.

Allahabad High Court · Division Bench · 31 October 2013 · 2013 SCC OnLine All 10200 · Writ - C No. 58763 of 2013 · **Writ petition disposed of; the demand of a bank guarantee for the additional-security amount quashed, the consumer to comply with the other conditions of the load-enhancement sanction**

HEADNOTE

Additional security demanded on enhancement of load is not 'dues' within Clause 4.49 of the U.P. Electricity Supply Code, 2005, and a bank guarantee for such additional security cannot be demanded - following the coordinate Division Bench in Tehri Girders Ltd. v. PVVNL, against which no SLP was filed. The petitioner's load enhancement was sanctioned (25.5.2013) subject to furnishing a bank guarantee of Rs. 2,66,70,160 for the additional-security amount. Applying Tehri Girders (para 30), which held that Clause 4.49 speaks of 'recovery of any dues' and additional security is not a recoverable due (its only consequence on non-payment being non-release of load / discontinuance of supply), the Court held the bank-guarantee demand unjustified and quashed it, while directing compliance with the sanction's other conditions.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.49

Additional security is not 'dues' under Clause 4.49; no bank guarantee for it

QUESTION

Can a licensee demand a bank guarantee under Clause 4.49 for the additional-security amount payable on load enhancement?

HOLDING

No. Following the coordinate Division Bench in Tehri Girders Ltd. v. PVVNL (unchallenged by any SLP), Clause 4.49 is attracted only where recovery of 'dues' has been stayed; additional security is not a recoverable due (the sole consequence of its non-payment being non-release of the additional load and discontinuance of supply). The demand of a bank guarantee for the additional-security amount was therefore not in accordance with law and was quashed, the consumer being directed to comply with the sanction's other conditions. ¶ (pp. 604-605)

LIMITING FACTS

Load enhancement sanctioned on 25.5.2013 subject to a bank guarantee of Rs. 2,66,70,160 for additional security; consumer willing to meet the other conditions.

PRINCIPLE TAGS

additional-security-is-not-dues-clause-4.49-not-attracted Additional security on load enhancement is not a recoverable 'due'; Clause 4.49 is not attracted and a bank guarantee for it cannot be demanded. Lead authorities: *Tehri Girders Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd.* [SCJ-252]. ¶ (pp. 604-605)

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Tehri Girders Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd.</i> 2009 (9) ADJ 19 (2009) SCC OnLine All 1262 [SCJ-252] Allahabad High Court (Division Bench)	Clause 4.49 speaks of 'recovery of any dues'; additional security is not a recoverable due, its only consequence on non-payment being non-release of load / discontinuance of supply, so Clause 4.49 is not attracted and no bank guarantee for additional security can be demanded.	Followed as a binding coordinate-bench decision (no SLP filed against it). ¶ (pp. 604-605)	Petitioner	Followed

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.